

rally (although still peaking below the December 1987 high of \$502.75). From the end of wave X, gold is expected to trace out a second A-B-C decline [for wave Y] into the early 1990s to complete a “double zigzag” bear market pattern from the 1980 peak of \$850/oz.

Wave ④ meandered lower for over five years, producing more periods of uncertainty, though the market’s options remained clear. Finally, on February 28, 1992, *The Elliott Wave Theorist* showed Figure 17-3, accompanied by this commentary:

The chart below shows one way to label the action of the past four years, with wave ④ subdividing into a lengthy (a)-(b)-(c). Wave (c) is a developing diagonal triangle with one low remaining to finish the pattern. By this count, wave ⑤ would then generate a rally to at least \$420/oz. but no higher than \$500.

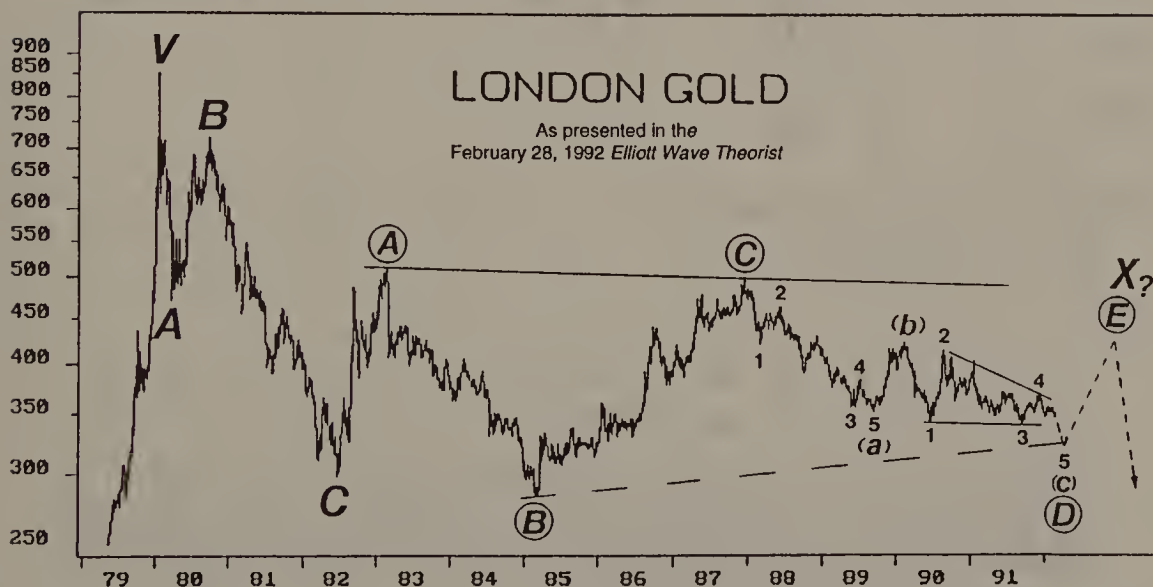


Figure 17-3

Wave ④ bottomed in March 1993. A month later, *The Elliott Wave Theorist* presented a forecast for the ultimate top of wave ⑤ that is still applicable as this book goes to press:

In terms of the Wave Principle, gold is now advancing in wave ⑤ of the triangle that began in 1982, as you can see [in Figure 17-4]. “E” waves are often about 61.8% of the length of “C” waves in triangles, so \$461 is a good estimate for the upcoming peak. “E”